October 23, 2026

Svatantra Microfin Limited: Rating confirmed as final for PTCs backed by microfinance loan receivables issued by PAGANI 2026

Summary of rating action

Trust name	Instrument*	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
PAGANI 2026	PTC Series A1	82.89	82.89	[ICRA]AA+(SO); provisional rating confirmed as final	RBI

**Instrument details are provided in Annexure I*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

In July 2026, ICRA had assigned Provisional [ICRA]AA+(SO) rating to Pass Through Certificate (PTC) Series A1, issued by PAGANI 2026. The PTCs are backed by a pool of a microfinance loan receivables originated by Svatantra Microfin Limited (SML) with an aggregate principal outstanding of Rs. 95.28 crore (pool receivables of Rs. 114.79 crore). SML would be acting as the servicer for the transaction.

Since the executed transaction documents are in line with the rating conditions and the legal opinion for the transaction has been provided to ICRA, the said rating has now been confirmed as final.

Pool performance summary

Parameter	PAGANI 2026
Payout month	September 2026
Months post securitisation	3
Pool amortisation	14.52%
PTC Series A1 amortisation	16.69%
Cumulative prepayment rate	0.74%
Cumulative collection efficiency[1]	99.65%
Loss-cum-0+ days past due (dpd)[2]	0.49%
Loss-cum-30+ dpd[3]	0.27%
Loss-cum-90+ dpd[4]	0.00%
Cumulative cash collateral utilisation	0.00%

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. The residual cash flows from the pool, after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of the PTC Series A1 principal. The transaction

[1] *(Cumulative current collections and overdue collections)/(Cumulative billings + Opening overdues at the time of securitisation)*

[2] *Unbilled and overdue principal portion of delinquent contracts as a % of Initial pool principal*

[3] *Unbilled and overdue principal portion of contracts delinquent for more than 30 days as a % of Initial pool principal*

[4] *Unbilled and overdue principal portion of contracts delinquent for more than 90 days as a % of Initial pool principal*

has certain predefined trigger events on the occurrence of which the residual cash flows would be passed on to PTC Series A1 investors.

The credit enhancement available in the structure is in the form of (i) a cash collateral (CC) of 6.50% of the initial pool principal, amounting to Rs. 6.19 crore, to be provided by the Originator, (ii) principal subordination of 13.00% of the initial pool principal for PTC Series A1, and (iii) the excess interest spread (EIS) of 16.06% of the initial pool principal for PTC Series A1.

Key rating drivers and their description

Credit strengths

Granular pool supported by presence of credit enhancement –The pool is granular, consisting of 15,816 contracts with no contract exceeding 0.01% of the pool principal, thereby reducing the exposure to any single borrower. Further, the credit enhancement available in the form of the CC, subordination and EIS would absorb some amount of the losses in the pool and provide support in meeting the PTC payouts.

No overdue contracts in the pool – The pool has been filtered in such a manner that there are no overdue contracts.

Seasoned contracts in the pool – The pool had amortised by around 17% as on the cut-off date with no delinquencies seen in any of the contracts post loan disbursement. This reflects the relatively better credit profile of the borrowers.

Adequate servicing capability of Svatantra – The servicer Svatantra has adequate processes for servicing of the loan accounts in the securitised pool. It has a demonstrated track record of over a decade of regular collections across multiple geographies.

Credit challenges

High geographical concentration – The pool has high geographical concentration with the top 3 states, viz. Bihar, Uttar Pradesh, and Karnataka contributing ~89% to the initial pool principal amount. The pool's performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Risks associated with lending business – The pool performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans. The performance of microfinance loans would also be exposed to political and communal risks.

Vulnerable asset quality in microfinance sector – The microfinance sector has seen lower collections and elevated delinquencies on account of borrower overleveraging and attrition in collection teams in the past. However, portfolio collections and asset quality are better from the post guardrail book which is a source of comfort.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 4.25% of the initial pool with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 3% to 9% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transaction is as follows:

Transaction Name	PAGANI 2026
Originator	Svatantra Microfin Limited
Servicer	Svatantra Microfin Limited
Trustee	Axis Trustee Services Limited
CC holding Bank	Axis Bank Limited
Collection and payout account Bank	Axis Bank Limited

Liquidity position: Superior

The liquidity for PTC Series A1 is superior after factoring in the credit enhancement available to meet the promised payouts to the investor. The total credit enhancement is around 7 times the estimated loss in the pool.

Rating sensitivities

Positive factors – The sustained strong collection performance of the underlying pool of contracts (monthly collection efficiency >95%), leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a rating upgrade.

Negative factors – The sustained weak collection performance of the underlying pool of contracts (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer (SML) could also exert pressure on the rating.

Analytical approach

The rating action is based on the trustee confirming compliance with the terms of the transaction and the executed transaction documents being in line with the terms initially shared with ICRA.

Analytical Approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions
Parent/Group support	Not Applicable
Consolidation/Standalone	Not Applicable

About the Originator

Svatantra Microfin Limited (SML), promoted by Ms. Ananyashree Birla, was incorporated in 2012 and started microfinance operations in March 2013. It is registered with the Reserve Bank of India (RBI) as a non-banking financial company-microfinance institution (NBFC-MFI). It provides microcredit to women, for income-generating activities, under the joint liability group (JLG) lending model. As on March 31, 2026, SML had operations in 20 states through a network of 2,123 branches in over 400 districts, catering to more than 42 lakh borrowers with a managed assets of Rs. 24,820 crore as on March 31, 2026 (Rs. 16,487 crore as on March 31, 2025). Chaitanya India Fin Credit Private Limited (CIFCPL) has now amalgamated into Svatantra Microfin Limited (SML) effective March 21, 2026.

Key financial indicators

SML	FY2024	FY2025	FY2026
Interest income	2,637	2,879	3,418
Profit after tax	512	419	642
Total managed assets	16,514	16,487	24,820
Gross stage 3	3.1%*	4.1%*	1.2%
CRAR	18.5%*	29.8%*	23.1%

*Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amounts in Rs. Crore; *Data is for Svatantra standalone entity*

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Sr. no.	Trust name	Current rating (FY2027)					Chronology of rating history for the past 3 years		
		Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027		Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024
					October 23, 2026	July 01, 2026	-	-	-
1	**PAGANI 2026**	PTC Series A1	82.89	82.89	**[ICRA]AA+(SO)**	**Provisional [ICRA]AA+(SO)**	-	-	-

Complexity level of the rated instrument

Instrument	Complexity indicator
PTC Series A1	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click Here

Annexure I: Instrument details

ISIN	Trust name	Instrument	Date of issuance / sanction	Coupon rate (p.a.p.m.)	Maturity date	Amount rated (Rs. crore)	Current rating	Financial Sector Regulator#
NA	**PAGANI 2026**	PTC Series A1	June 29, 2026	7.03%	March 12, 2028	82.89	[ICRA]AA+(SO)	RBI

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not Applicable

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About ICRA Limited:

ICRA Limited was set up in 1991 by leading financial/investment institutions, commercial banks and financial services companies as an independent and professional investment Information and Credit Rating Agency.

Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

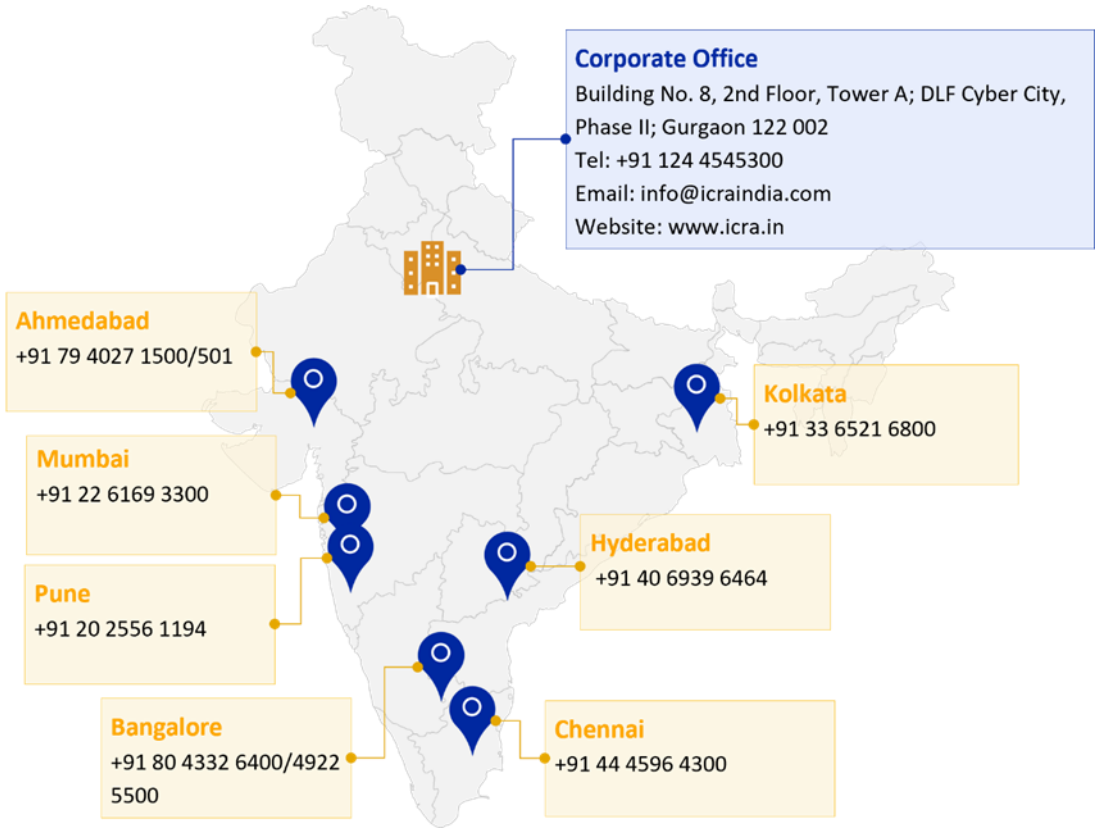
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